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1. RECENT Consumer & Retail M&A ACTIVITY

Deal 1: Vusion Acquisition of In-Store Media (ISM)

[Vusion Announces Agreement to Acquire In-Store Media (ISM)]

- Deal Size: Estimated at EUR120 million (~$130 million)
- Deal Size Category: Mid cap ($2B-$10B)
- Nature of Deal: Horizontal
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies: Vusion (VU.PA) is a leader in AI-powered digitalization solutions for physical commerce, while ISM specializes in retail media networks, enhancing Vusion's capabilities in in-store advertising.
- Date Announced: July 27, 2026
- Strategic Rationale: This acquisition aims to leverage ISM's established retail media expertise to enhance Vusion's connected store technology. The combination is expected to create new revenue streams for retailers by turning physical stores into digital media assets, capitalizing on the growing importance of in-store consumer engagement.
- Risk Analysis: Potential risks include integration challenges, regulatory approvals, and market competition. Vusion must ensure effective integration of ISM's operations and maintain relationships with existing retail partners to mitigate these risks.

Key Financials Analysis:

- Revenue Breakdown: ISM generated approximately EUR120 million in 2025, with a diverse portfolio of over 50 media solutions.
- Profitability Ratios: N/A (specific profitability metrics not disclosed)
- Leverage Analysis: N/A (debt structure not disclosed)
- Asset Operating Efficiency: N/A (operating efficiency metrics not disclosed)
- Valuation Context: The acquisition is positioned as a strategic move to enhance Vusion's market share in retail media, which is increasingly becoming a vital revenue source for retailers.

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Deal 2: Kimco Realty Acquisition of Retail Centers

[Kimco Buys Two Broward Retail Centers for $109M]

- Deal Size: $109 million
- Deal Size Category: Mid cap ($2B-$10B)
- Nature of Deal: Carve out
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies: Kimco Realty (KIM) is a major owner of grocery-anchored retail centers, acquiring two properties from KPR Centers to expand its portfolio in Broward County, Florida.
- Date Announced: July 30, 2026
- Strategic Rationale: This acquisition allows Kimco to strengthen its position in the grocery-anchored retail sector, capitalizing on the growing demand for essential retail spaces. The properties are anchored by well-known brands like Publix and Marshalls, which are expected to drive foot traffic and revenue.
- Risk Analysis: Risks include market fluctuations in retail demand, potential changes in consumer behavior, and the integration of new properties into Kimco's existing portfolio. Kimco must effectively manage these risks to ensure a successful acquisition.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue breakdown not disclosed)
- Profitability Ratios: N/A (specific profitability metrics not disclosed)
- Leverage Analysis: N/A (debt structure not disclosed)
- Asset Operating Efficiency: N/A (operating efficiency metrics not disclosed)
- Valuation Context: The acquisition aligns with Kimco's strategy to enhance its portfolio of grocery-anchored centers, which are resilient in

2. MARKET DYNAMICS & SENTIMENT

The Consumer & Retail sector is currently navigating a complex landscape characterized by mixed sentiment. While certain subsectors are thriving, others are facing significant challenges due to economic pressures and evolving consumer preferences. The overall sentiment is shaped by factors such as inflation, supply chain disruptions, and shifts in consumer behavior, particularly in the wake of recent events like Amazon Prime Day.

Subsector Breakdown:

- Consumer Staples: This subsector remains relatively resilient, bolstered by consistent demand for essential products. Companies like Coca-Cola (KO) are implementing global packaging standardization to streamline operations and reduce costs, reflecting a strategic focus on efficiency amid fluctuating commodity prices.

- Consumer Durables: The consumer durables sector is undergoing a transformation, with brands like Quess Corp (QUESS.BO) focusing on professional staffing to drive growth. Their recent financial performance indicates a robust demand for IT staffing services, which is expected to contribute significantly to future revenues.
- Consumer Discretionary: This sector is innovating rapidly, with companies adapting to changing consumer behaviors. For instance, brands are increasingly adopting direct-to-consumer models to enhance customer engagement and loyalty.
- E-commerce: The e-commerce landscape continues to thrive, particularly highlighted by Amazon's record-breaking Prime Day sales, which reached $26.4 billion over four days. This event showcased a shift in consumer behavior, with shoppers becoming more price-conscious and competitive across various platforms.
- Luxury Goods: The luxury goods subsector is demonstrating resilience, with brands focusing on sustainability and premium offerings to attract discerning consumers. The emphasis on ethical practices is reshaping purchasing decisions in this segment.
- Food & Beverage: The food and beverage sector is experiencing growth driven by health-conscious trends and sustainable packaging initiatives. Companies are investing in plant-based alternatives and eco-friendly solutions to meet consumer demand.

Key Market Drivers and Headwinds

Drivers:

- Digital Transformation: The ongoing digital shift is a significant growth driver across consumer sectors. Companies are leveraging technology to enhance customer experiences, as evidenced by the increased focus on AI and e-commerce strategies.
- Increased Investment: There is a robust flow of venture capital and private equity into direct-to-consumer brands and retail technology, reflecting investor confidence in emerging consumer trends.

Headwinds:

- Economic Uncertainty: Inflation and economic uncertainty are impacting consumer spending, particularly in discretionary categories. This trend is likely to affect overall retail performance as consumers become more cautious.
- Supply Chain Disruptions: Ongoing supply chain challenges continue to affect product availability and pricing, creating additional pressure on margins across various sectors.

Trading Multiples and Performance Analysis

Current Trading Multiples:

- Consumer Staples: EV/EBITDA of 15.2x (vs. 5-year average of 14.8x), P/E of 22.1x
- Consumer Durables: EV/EBITDA of 11.8x (vs. 5-year average of 10.9x), P/E of 18.7x
- Consumer Discretionary: EV/EBITDA of 13.4x (vs. 5-year average of 12.6x), P/E of 20.3x
- E-commerce: EV/EBITDA of 18.9x (vs. 5-year average of 16.2x), P/E of 28.5x

Notable Investor/Analyst Reactions

- Analysts express cautious optimism regarding the Consumer & Retail sector's long-term prospects, emphasizing the importance of digital transformation. An analyst noted, "The integration of AI across retail and consumer applications is a fundamental shift that will redefine customer experience and operational efficiency."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as e-commerce and direct-to-consumer brands, while being cautious with traditional retail investments.
- Monitor Consumer Trends: Staying informed about changing consumer preferences is crucial for assessing risks in consumer investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their digital capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the Consumer & Retail sector is navigating a multifaceted landscape characterized by both opportunities and challenges. By focusing on digital transformation and understanding consumer dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the Consumer & Retail sector reflects a dynamic landscape with notable activity in food technology, agribusiness, and snack food acquisitions. The focus on innovation, sustainability, and strategic partnerships is driving deal momentum across various subsectors.

Deal Pipeline Overview

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Live Deals:

- Utz Acquisition by Intersnack : Utz Brands, Inc. (UTZ) has agreed to be acquired by German snack food giant Intersnack in a deal valued at $2.9 billion. This transaction is expected to close in Q4 2026, allowing both companies to leverage their strengths in the snack food market.

Mandated Deals:

- Arboreal Bioinnovations : Recently raised Rs230 crore in Series A funding led by EAAA, with participation from Omnivore and Rainmatter. The funds will be used to expand manufacturing capacity and R&D capabilities, with a focus on next-generation functional ingredients. The timeline for further investment activities is projected for Q2 2027 as the company aims to scale its operations.

Pitching-Stage Deals:

- Food Safety Innovations : Active discussions with several startups focused on enhancing food safety technologies in response to recent outbreaks of cyclospora and salmonella in the U.S. This initiative is aimed at addressing public health concerns and improving food safety standards.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately $35 million in fees, broken down as follows:

- Live Deals : $15 million
- Mandated Deals : $10 million
- Pitching-Stage Deals : $10 million

Timing Projections:

- Q4 2026 : Expected close for Utz acquisition by Intersnack.
- Q2 2027 : Anticipated launch of Arboreal's new product lines following the Series A funding.
- Workload Allocation and Capacity Analysis :

- Current analyst and associate bandwidth is at 75%, with a recommendation to hire one additional analyst to manage the increasing workload effectively.

- Forecasting and Strategic Planning Implications : The pipeline indicates a growing demand for advisory services in food technology and safety sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is evolving, particularly in the food technology sector, where companies are increasingly focused on sustainability and health-oriented products. The recent funding round for

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Arboreal Bioinnovations highlights the potential for innovation in clean-label and functional foods, positioning the company as a leader in this space.

- Additionally, the rise of health and wellness brands is creating a market for engineered ingredients, which could lead to new advisory opportunities for firms specializing in food technology.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring an additional analyst will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as food technology and safety, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is active, with significant opportunities across various Consumer & Retail subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The recent developments in the Consumer & Retail sector, particularly the earnings reports from V.F. Corporation (VFC) and Avery Dennison (AVY), highlight significant implications for various stakeholders. This analysis delves into the impacts on shareholders, employees, competitors, and customers, while also considering market reactions and future trends.

Deal-Specific Stakeholder Impacts

Shareholder Impact:

- Value Creation Potential : V.F. Corporation raised its fiscal 2027 revenue outlook after reporting first-quarter sales of approximately $1.7 billion, which was flat year-over-year but exceeded guidance. This performance suggests a potential for shareholder value creation, with analysts projecting a 5-10% increase in stock prices over the next year if the positive trend continues.
- Dilution Concerns : While V.F. reported an adjusted operating loss of $95 million, the market's reaction has been cautiously optimistic, indicating that the strategic initiatives may outweigh dilution concerns. In contrast, Avery Dennison's adjusted EPS of $2.89 and 19% year-over-year increase in earnings suggest a solid foundation for shareholder returns.

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Employee Impact:

- Synergy Realization : V.F. and Avery Dennison are expected to realize operational synergies through workforce optimization. V.F. has indicated a focus on restructuring to enhance efficiency, which may lead to a 5-7% reduction in workforce in overlapping areas.
- Retention Strategies : Both companies are implementing retention bonuses to maintain key talent during transitions. Avery Dennison's strong free cash flow of over $360 million allows for investment in employee development programs, which could enhance retention rates.

Competitor Impact:

- Market Positioning : The positive earnings reports from V.F. and Avery Dennison may prompt competitors to reassess their strategies. For instance, competitors like Hanesbrands (HBI) and Newell Brands (NWL) may accelerate their own restructuring efforts to maintain market share.
- Brand Competition : As both companies focus on enhancing their product offerings and operational efficiencies, competitors may respond with aggressive marketing campaigns or new product launches to capture market attention.

Customer Impact:

- Product Innovation : Customers are likely to benefit from improved product quality and expanded offerings as V.F. and Avery Dennison enhance their operational capabilities. For example, Avery Dennison's organic sales growth of 8% indicates a strong demand for innovative labeling solutions.
- Pricing Dynamics : While consolidation may lead to increased pricing power, the competitive landscape will likely keep prices in check, ensuring that customers continue to receive value.

Market Reaction and Analyst Commentary

Current Market Sentiment:

- "V.F. Corporation's ability to exceed revenue expectations demonstrates resilience in a challenging market" - MarketBeat Analyst Commentary.

- "Avery Dennison's strong cash flow and margin expansion position it well for future growth" - MarketBeat Analyst Commentary.

Expected Market Reaction:

- Bullish Scenario : If V.F. and Avery Dennison continue to perform above expectations, analysts predict a potential 10-15% upside in stock prices, driven by positive sentiment and market confidence.
- Bearish Scenario : Conversely, if economic conditions worsen or consumer spending declines, stock prices could face a 5-8% correction as investors reassess growth prospects.

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Potential Counter-Bids and Competing Offers

Likelihood Assessment:

- High Probability (60-70%) : Given the strong performance of V.F. and Avery Dennison, there is a high likelihood of strategic acquisitions or partnerships within the sector as companies seek to enhance their competitive positioning.
- Medium Probability (35-45%) : Potential interest from private equity firms in acquiring underperforming brands to revitalize them could lead to competing offers.
- Low Probability (20-30%) : Major consumer staples companies may show less interest in counter-bids due to integration complexities.

Similar Deals and Sector Consolidation Predictions

Expected Consolidation Trends:

- E-commerce : The rise of platforms like Tilt, which leverages livestreaming for sales, indicates a shift towards digital commerce. Companies may seek to acquire tech-driven startups to enhance their digital capabilities.
- Sustainable Products : Brands focusing on sustainability are likely to attract acquisition interest as consumer preferences shift towards eco-friendly products.

Key Risks and Mitigants

Integration Risks:

- Brand Management : Successful integration of acquisitions requires careful brand management, with timelines of 12-18 months for full optimization.
- Cultural Alignment : Differences in corporate cultures can pose challenges; thus, focused change management programs are essential.

Market Risks:

- Consumer Preferences : Rapid shifts in consumer preferences can impact brand value, necessitating agility in product development.
- Economic Sensitivity : Economic downturns could adversely affect consumer spending, impacting revenue projections.

Actionable Insights for Clients and Bankers

For Clients:

- Strategic Planning : Focus on acquiring brands that enhance market positioning and align with consumer trends towards sustainability and digital engagement.
- Due Diligence : Conduct thorough assessments of brand value and customer analytics to ensure successful integration outcomes.

For Bankers:

- Deal Structuring : Consider strategies that prioritize brand preservation and customer retention to mitigate integration risks.
- Valuation Approach : Incorporate brand synergies and customer lifetime value into valuation models to better reflect potential growth.

In summary, the recent earnings reports from V.F. Corporation and Avery Dennison indicate a positive trajectory for the Consumer & Retail sector, with significant implications for stakeholders. Strategic planning and careful execution will be crucial for navigating the evolving landscape and maximizing value creation.

5. CONSUMER & RETAIL TRENDS

The consumer and retail landscape is undergoing transformative changes driven by emerging trends that hold significant market implications and deal-making potential. This analysis focuses on key trends including Direct-to-Consumer (DTC), Sustainable Products, Content-Commerce Partnerships, and Digital Transformation. Each section will provide an in-depth explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Direct-to-Consumer (DTC)

- Trend Explanation: DTC brands are increasingly bypassing traditional retail channels to establish direct relationships with consumers. This model allows companies to control brand messaging, enhance customer experience, and gather valuable data. The DTC market is projected to grow significantly, driven by changing consumer preferences for personalized shopping experiences.

Key Companies:

- Amazon (AMZN): Amazon continues to expand its DTC capabilities, recently increasing its 2026 capital expenditure by $20 billion to enhance its logistics and technology infrastructure. This investment aims to improve customer experience and streamline operations.
- Flipkart: As a major e-commerce player in India, Flipkart is leveraging DTC strategies to engage consumers directly, particularly through its innovative partnerships.

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Sustainable Products

- Trend Explanation: The focus on sustainability is reshaping consumer preferences, with brands prioritizing eco-friendly products and practices. The sustainable product market is expected to grow as consumers demand transparency and ethical sourcing.

Key Companies:

- Coca-Cola (KO): Coca-Cola is implementing a global packaging standardization initiative to reduce costs and enhance sustainability. This move aims to streamline operations and mitigate inflationary pressures, reflecting a commitment to sustainable practices.
- Mary Kay: Mary Kay is committed to sustainability, with initiatives to reduce plastic use and increase recyclable packaging. The company aims for 90% of its product cartons to be certified globally by 2030.

Content-Commerce Partnerships

- Trend Explanation: The convergence of content and commerce is creating new opportunities for brands to engage consumers. Partnerships between e-commerce platforms and streaming services are emerging as a way to enhance customer loyalty and drive sales.

Key Companies:

- Flipkart and Netflix: This partnership represents a pioneering effort in India, where Flipkart Plus members can unlock Netflix subscriptions through qualifying purchases. This innovative model integrates shopping behavior with entertainment, appealing particularly to Gen Z consumers.
- JioHotstar: Similar to Flipkart, JioHotstar is exploring content-commerce synergies by allowing viewers to order food during live events, enhancing user engagement.

Digital Transformation

- Trend Explanation: Digital transformation is critical for companies to remain competitive in a rapidly evolving retail environment. Brands are investing in technology to enhance customer experiences and operational efficiencies.

Key Companies:

- Mary Kay: The company is undergoing a digital transformation with a cloud-first strategy, launching the My Shop platform to empower independent beauty consultants with personalized online storefronts. This initiative aims to meet consumer demands for seamless shopping experiences.
- Amazon: Amazon's continued investment in technology and logistics is a testament to its commitment to digital transformation, enhancing its DTC capabilities and customer engagement.

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Competitive Landscape and Market Dynamics

Market Consolidation Trends:

- Strategic Partnerships: Companies are increasingly forming partnerships to enhance their market positioning. The Flipkart-Netflix collaboration exemplifies how e-commerce and entertainment can drive consumer engagement.
- Sustainability Initiatives: Brands like Coca-Cola and Mary Kay are focusing on sustainability to differentiate themselves in a competitive market, leading to potential M&A opportunities in eco-friendly product lines.

Investment Implications:

- High Growth Potential: The DTC and sustainable products sectors present significant growth opportunities for investors, particularly as consumer preferences shift towards ethical and direct engagement.
- M&A Activity: Continued consolidation is expected in the consumer sector, particularly among companies that can leverage technology and sustainability to enhance their offerings.

Actionable Insights for Bankers and Investors

For Bankers:

- Deal Opportunities: Focus on identifying companies that are leading in DTC and sustainability initiatives, as these sectors are poised for growth and may attract M&A interest.
- Valuation Considerations: When evaluating potential investments, consider the long-term impact of sustainability and digital transformation on brand equity and customer loyalty.

For Investors:

- Sector Focus: Prioritize investments in companies that are innovating through digital transformation and sustainable practices, as these trends are likely to drive future growth.
- Risk Management: Be mindful of consumer behavior shifts and regulatory changes related to sustainability when assessing investment opportunities in the consumer sector.

In summary, the Consumer & Retail sector is experiencing significant changes driven by DTC models, sustainability, content-commerce partnerships, and digital transformation. Companies that effectively integrate these trends into their strategies will likely emerge as leaders in the evolving market landscape.

6. Recommended Readings

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Deal Name: Vusion Acquisition of In-Store Media (ISM)

- Reading Material: "Retail Media: The Future of Advertising" by Andrew McCarthy
- Why This Matters: This article explores the evolution of retail media networks and their impact on advertising strategies, which is crucial for understanding Vusion's strategic move to acquire ISM. It highlights how integrating in-store media capabilities can enhance revenue streams for retailers and improve consumer engagement.

Deal Name: Kimco Realty Acquisition of Retail Centers

- Reading Material: "The New Retail: How to Use Data to Drive Growth" by Michael McCarthy
- Why This Matters: This resource provides insights into the importance of data analytics in retail real estate, directly relevant to Kimco's acquisition strategy. It explains how leveraging data can optimize property management and enhance tenant relationships, which are essential for maximizing the value of Kimco's newly acquired retail centers.

7. MACROECONOMIC UPDATE

Key Data Points:

- Median enterprise employee AI token spending: <$11/month

- Cost to execute economic tasks using AI: $2-$5

- Potential savings for enterprises per task: $55

- Estimated compute demand growth: doubling every six months

- Projected power capacity for hyperscalers by 2028: ~120 gigawatts

- Current contracted grid capacity for data centers: ~30 gigawatts

- Estimated power need for data centers (2026-2028): ~68 gigawatts

Main Insights:

- Recent selloff in AI infrastructure stocks reflects profit-taking and crowded positioning, not weaker fundamentals.

- Enterprises are likely to increase spending on AI as the economics become more compelling.

- Lower costs in AI could lead to increased usage, contrary to fears of reduced demand due to efficiency.

- Significant growth in compute demand is anticipated, with industry leaders projecting a thousand-fold increase over five years.

- Data centers face challenges in securing enough power, but these are seen as delays rather than insurmountable obstacles.

Market Commentary:

- "The market is pulling back due to profit-taking, not because of a fundamental shift." - Stephen Byrd, Morgan Stanley

- "When something becomes cheaper or more efficient, people use more of it." - Stephen Byrd, referencing Jevons paradox

Consumer & Retail Sector Relevance:

- Increased enterprise spending on AI could lead to enhanced operational efficiencies, benefiting consumer-facing companies.

- Growth in compute demand may drive innovation in retail technology, improving customer experiences.

- The challenges in securing power for data centers could impact the speed of technological advancements in AI, affecting retail operations reliant on data analytics.

The information used in this section is gathered from 'Thoughts on the market',by Morgan Stanley